

A Guide to

LOCAL GOVERNMENT AND FINANCE



Introduction

Local governments in the United States spend over 1.6 trillion taxpayer dollars per year, or more than ten percent of national GDP. This guide serves as a starting point for those who want to learn more about how local governments operate, manage, and communicate their finances.

The guide begins with an overview of the different types of governments in the United States. It explores the role local governments play, their areas of responsibility, and their internal organization.

The guide then moves to municipal finance, starting with an introduction to the Fund Accounting model that cities and other governments use to track their revenues and expenses. It explores the common types of revenues and expenses at the city level, and discusses how government accounting works in practice.

The guide concludes with a section on budgeting, the decision-making process that guides local government activities. It explains the common approaches to budgeting and walks through how budgeting works in practice.

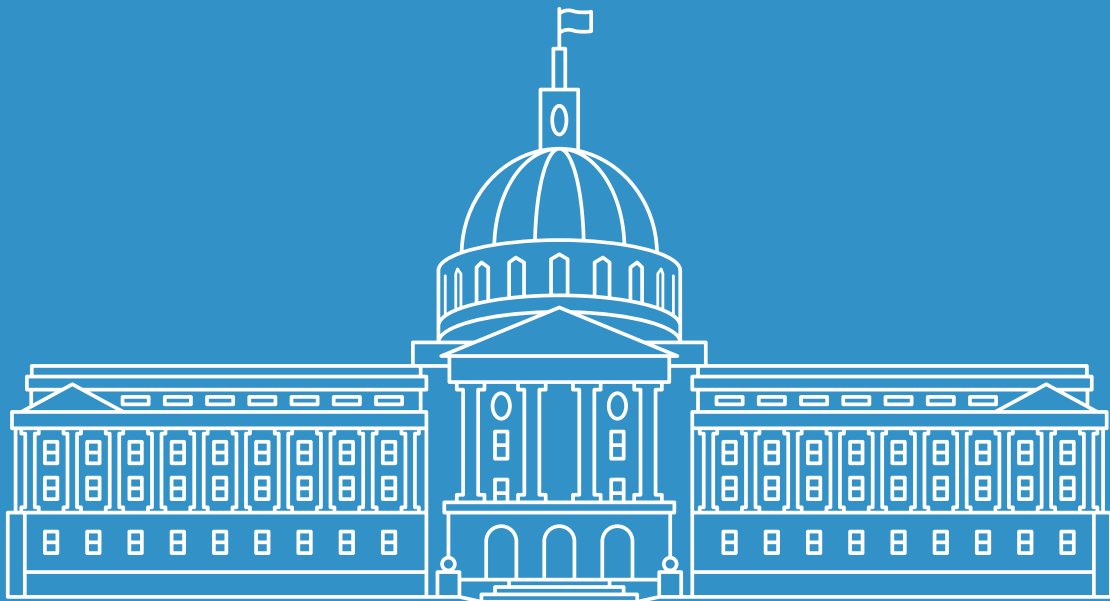
An appendix contains further suggested reading on the topics covered in this guide.

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Section 1

Government in the U.S.



1.1 An Overview of Government

The United States has a federal system of government in which fifty independent states share their sovereignty with a central government. The United States Constitution allocates some powers specifically to the Federal government, and reserves the rest for the states. States are subdivided into administrative regions called counties. Within and around counties are various types of municipal governments, including cities.

The municipal and county level is often referred to as local government. A resident of the United States is governed by laws from at least three different levels of government.

Federal

The Federal government has a budget of nearly \$4 trillion. For comparison, California, the largest state, has a \$100 billion budget. The Federal government is primarily responsible for national defense, printing and regulating currency, entering into treaties with foreign governments, regulating commerce between states, and managing programs like Medicare and Social Security.

State

Each of the fifty states constitutes its own political entity with an executive branch, court system, legislative branch, and constitution. The arrangement is similar to that of the Federal government, with an elected chief executive (the governor), a series of trial courts that feed into appellate courts, and an elected legislature that is bicameral (in every state except Nebraska).

The responsibilities of states overlap with those of the federal government, but they center on providing for public health and welfare, establishing local

governments, transportation, infrastructure, and setting laws to govern every- thing outside the scope of the federal government.

Local

Local government refers to the county, municipal, and special district governments that exist within states. Local governments provide most domestic services in the United States, and the majority of citizen-to-government interactions occur at the local level. There are different types of local governments:

- **Counties** Every state contains counties, though in Louisiana they are called parishes and in Alaska they are called boroughs. Counties are subdivisions of states and are responsible for their geographical region (ranging from 12 square miles in Kalawo County, Hawaii to 20,057 square miles in San Bernardino County, California), and they are directly responsible for serving any territory that has not been incorporated into a city.

Depending on the state, counties may have limited scope and provide only courts and a sheriff's office, or they may have broad scope and take care of everything from roads and libraries to public health and education.

Depending on the state structure, cities may fall within counties or exist separately. Forty major cities in the U.S., such as Philadelphia, Denver, and San Francisco, have consolidated governments that are both cities and counties and carry the full powers of each.

- **Municipalities** Municipal governments in the U.S. can have a number of names, including city, borough, district, township, or village. When it comes to organization and financial management, there are important similarities.

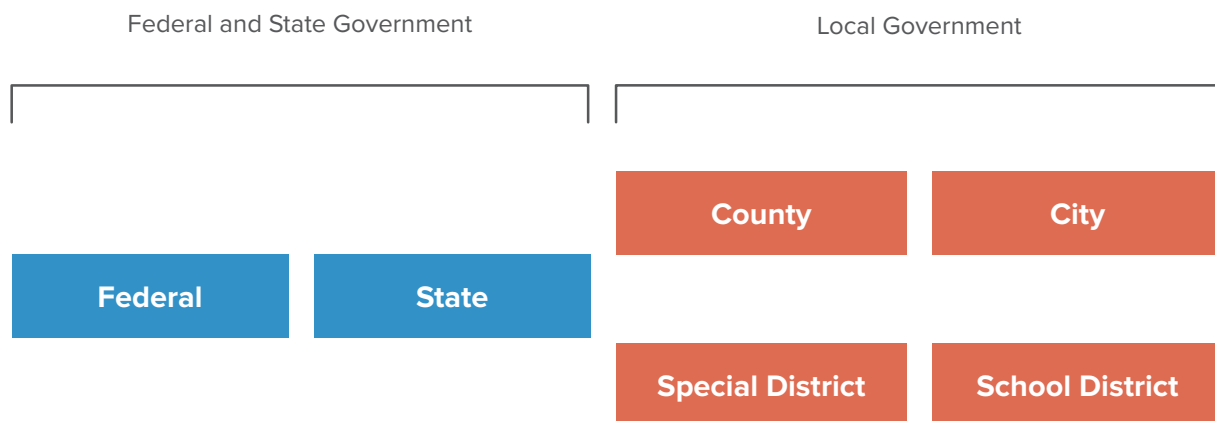
Municipalities are incorporated by state governments under state law, and may be a subdivision of a county. They are responsible for meeting the needs of their communities and providing a range of services, from public safety and utilities to recreation and public works. In these areas, they are the primary service providers to citizens in the U.S.

While municipalities in the U.S. range in population from 1 person (Monowi, Nebraska) to nearly 9 million (New York City), the average has about 10,000 people and a budget of a few million dollars. They can pass their own laws and regulations, provided they do not contravene state and federal legislation.

- **Special Purpose Governments** Special purpose governments are organizational entities created by states or municipalities to provide one service to a specific geographical region. They can be financially and administratively independent from other local governments, with their own leadership and revenue sources or with limited connections.

Special purpose governments are often called districts, boards, commissions, or authorities, and the number of special purpose governments in the U.S. has tripled in the last fifty years to over 52,000. Examples of special purpose governments include:

- School Districts
- Waste Districts
- Housing Authorities
- Utility Districts
- Port and Transit Authorities
- Air Quality Commissions
- There are even special districts responsible for mosquito abatement and flood control



The structure of government

1.2 City Organization

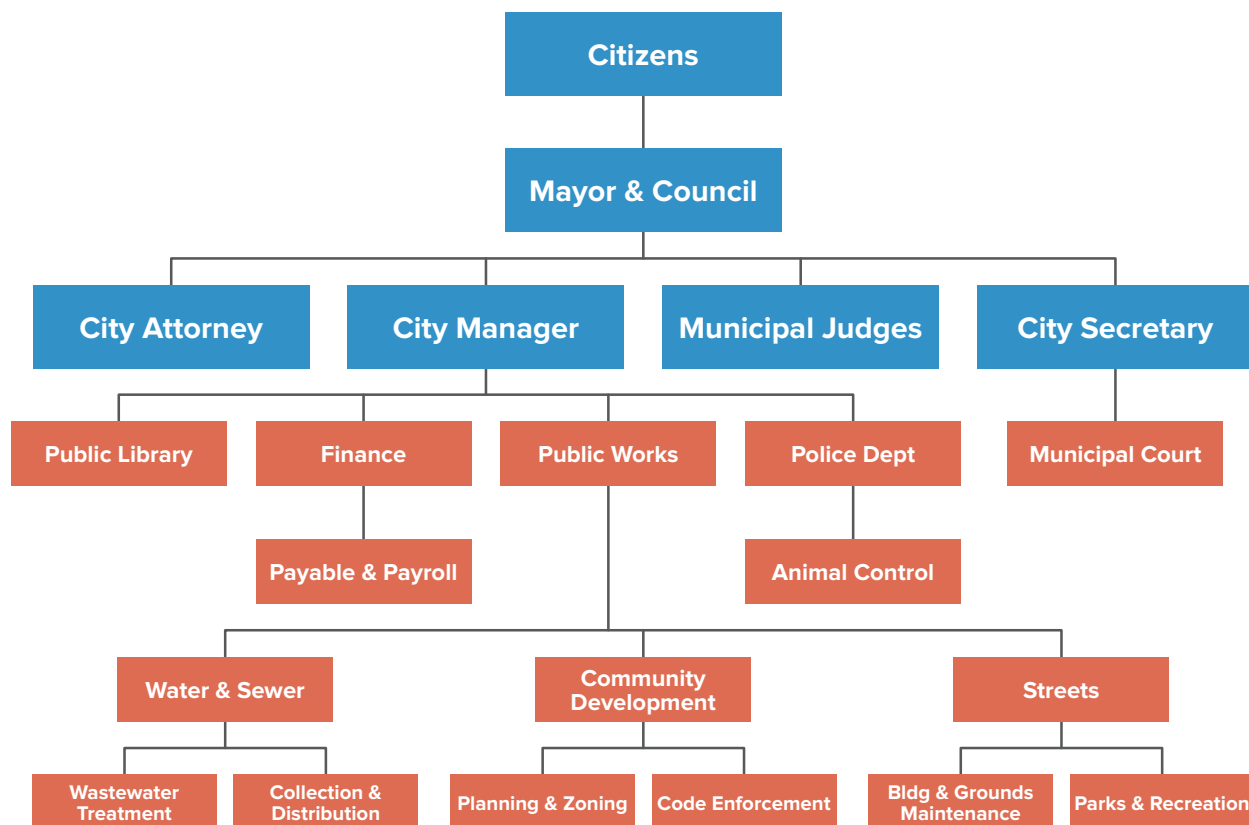
Four-fifths of people in the U.S. live in cities (broadly defined to include municipalities), and therefore interact with municipal governments. For cities, councils act as the legislative branch; they are responsible for approving the budget, setting policy priorities, establishing taxes, borrowing money, and passing or changing laws or ordinances.

In many cities, the mayor is a member of the city council. This arrangement is called a “weak” mayor system, because the mayor is not the chief executive and usually does not have veto power over the council. In a weak mayor system, the council appoints a manager or administrator as the chief executive officer. The concept of a manager first emerged in Stanton, Virginia in 1908 as a Progressive Era reform to limit the control political parties

exerted on cities.

Most large cities today retain “strong” mayor systems, where the mayor is elected by the people and acts as the chief executive. Whether a strong mayor or city manager runs the city, this executive oversees a series of departments, each responsible for a specific area of government service.

Department heads report directly to the mayor or manager, and departments are often separated into divisions with even narrower responsibilities. Each municipality has a unique department and division structure tailored to meet its needs and constraints.



An example organizational chart for a small or medium-sized city

1.3 Typical City Departments and Services

Typical cities display the following organization¹:

Police and Fire

In most cities, the largest expenses stem from the provision of police and fire services, often including emergency medical response. These expenses often account for over half, and sometimes two-thirds, of a city's expenses.

Community Development (Planning and Building)

Community Development (Planning and Building). All cities prepare and update development plans as well as review development proposals for consistency with applicable laws and standards. The city checks plans for compliance with applicable building codes and inspects new construction projects in the field.

Parks and Recreation

Most cities maintain local parks and offer recreation programs such as youth and adult sports, exercise, and social programs like health enhancement, daycare, and senior services. The number and type of programs offered varies significantly from city to city.

Public Works and Municipal Utilities

Generally, public works and utility services encompass street and sidewalk maintenance, storm water drainage facilities, sewage collection and treatment, water supply and distribution, garbage collection and recycling programs, and tree maintenance.

General Government

The followings divisions manage different segments of the business of cities and administer its policies:

- *City Council* and its appointed *Commissions* and committees
- *City Manager*, *City Attorney*, and *City Clerk*, as well as their related staffs

- *Human Resources* or *Personnel Department* that recruits employees and ensures applicable labor laws are met
- *Finance Department* that collects revenues, assists in preparation of the city budget, and manages the city's finances
- *Information Technology* department that oversees computer systems, networks, phone systems, and the city website

In many cities, some or all of these services are provided by outside contractors or another level of government. Small cities and rural areas, for example, may rely on the county sheriff for policing, and on a state agency for fire prevention. Special purpose governments often handle utilities such as water and electricity. A small number of cities operate services such as airports or marinas.

¹ Adapted from the Guide to Local Government Finance in California (GLGFC), Chapter 2

1.4 County Governments

Counties are administrative divisions of the state in which their boundaries are drawn. There are 3,144 counties and county equivalents in the United States. Counties generally form an intermediate tier of government, lying between the state and lower-level local governments such as cities, towns, or villages. In most states, cities govern portions of counties. In some states, however, cities and counties are entirely separate entities that do not have overlapping jurisdictions. In these states, a given city or county will provide the full array of services to its population.

County governments are created through state legislation and receive their authority and responsibilities from their state. In many states, counties provide the majority of direct social services, judicial services, and large cultural institutions. Often, departments within a county provide services to other local governments via service agreements. For example, a county might provide police services to a city within that county. Counties typically provide prisons and support local law enforcement efforts by cities with specialized labs and investigations. When a county contains areas that are not part of a city, known as unincorporated areas, the county normally provides all direct services to these areas.

Like cities, counties have an elected governing board, such as a council or board of supervisors, and either an elected or appointed chief executive or administrative officer. Specific departments may be headed by officials who have more autonomy and who receive direction either from the state or a separately appointed board. For example, Sheriffs are often elected and receive guidance from the state while health departments often report primarily to a separately appointed governing board. These departments typically exercise more

independence in creating operating procedures and determining policy than other county departments. Their budgets, however, are approved by the county's governing board and they are subject to many of the same rules as departments headed by officials appointed by the county's chief executive or governing board.

48 of the 50 states have counties. States have widely varying numbers of counties: Delaware has three while Texas has 254. Of the 48 states with counties, 46 use the term "county" while Alaska and Louisiana use the terms "borough" and "parish," respectively, for analogous jurisdictions. Two states, Connecticut and Rhode Island, have abolished their counties as functional entities and Massachusetts is in the process of doing so.

Counties generally contain other local government entities, such as cities, villages, towns, townships, or other municipal corporations. In some cases, these entities may be subject to direct or indirect county control while in others they operate independently. In some states, counties can be subdivided into administratively subordinate entities, such as townships, hundreds, or towns in New England, New York, and Wisconsin. Michigan, since 1947, has distinguished between "townships," which are not self-governing, and "charter townships," which are.

Some states have distinctive systems. In Virginia, all cities are independent and report directly to the commonwealth government. Though they are not part of a county, they might still operate as a county seat. For example, the Independent City of Fairfax is the seat of Fairfax County even though it is not within Fairfax County. California has abolished its townships, though many general law cities continue to use the word "Town" as part of their name. Thus, Atherton refers to itself as the Town of Atherton when it is, legally, the City of

Atherton. Some New England states use the term shire town to mean "county seat".

In New York, 57 of 62 counties are independent administrative divisions of the state with normal county executive powers. The remaining five, however, are administrative divisions of the City of New York. These five are each referred to as boroughs in the context of city government and as counties in the context of state government. For example, Manhattan's courthouse is referred to as the New York County Courthouse. New York County corresponds to Manhattan, Bronx County to The Bronx, Queens County to Queens, Kings County to Brooklyn, and Richmond County to Staten Island.

In Connecticut, Rhode Island, and parts of Massachusetts, counties exist only to designate boundaries for such state-level functions as park districts (Connecticut) or judicial offices (Connecticut and Massachusetts). In states where county government is nonexistent or weak (e.g., New Hampshire, Vermont), town government may provide some or all of the local government services.

In many cases, a municipality has merged with a county to form a single jurisdiction in which the county seat is coextensive with the county. Examples of this phenomenon include the City and County of Honolulu, Hawaii, the City and County of San Francisco, California, the City and County of Denver, Colorado and the City and County of Philadelphia, Pennsylvania. A similar arrangement exists in the Metropolitan Government of Nashville and Davidson County, where the metropolis of Nashville has merged into the county of Davidson. A few municipalities other than Nashville still exist in the county and retain some administrative functions, such as Belle Meade. Jacksonville, Florida and Indianapolis, Indiana have similar arrangements. Miami-Dade in south Florida is a

unique example of the merger of some functionality resulting in a two tier arrangement of governmental authority and administrative responsibility. Braselton, Georgia is widely known for being in four counties: Jackson County, Barrow County, Gwinnett County, and Hall County.

1.5 School Districts

School districts are local governments that generally have powers similar to cities and counties, such as taxation and eminent domain. Their governing bodies are typically elected by direct popular vote, but are sometimes appointed by other governmental officials. School district governing bodies are often called school boards, but may be known as boards of trustees, boards of education, or school committees. The district's governing body appoints a superintendent, usually an experienced public school administrator, to function as the district's chief executive. The superintendent makes day-to-day decisions and implements policy. The governing body may also exercise a quasi-judicial function in serious employee or student discipline matters.

The U.S. contains approximately 13,500 school district governments; 178 state-dependent school systems; 1,330 local-dependent school systems; and 1,196 education service agencies that provide support services to public school systems.

A unified school district includes elementary and secondary (middle school and high school) educational levels. The word central in a district's name indicates that there is one central administration that oversees the entire district. The word union or consolidated in a district's name indicates that it was formed from two or more districts. The word joint in a district's name indicates that it includes territory from more than one county. By extension, a joint state school district, such as Union Coun-

ty—College Corner JSD, includes territory in more than one state.

State variation is common. For example, some school districts are known as independent school districts, but independent status has different meanings in different states. In Kentucky, independent districts are separate from county districts, the latter being the standard form of school district. If a Kentucky county has no independent school district, its school district boundaries are the same as the county. In Texas, "Independent" denotes that the district is separate from any county- or municipal-level entity. School district boundaries rarely coincide with municipal limits or county lines. In Michigan, there are Intermediate School Districts (ISD), Regional Education Service Districts (RESA), or Regional Education Service Agencies (RESA) largely at the county level. The local school districts run the schools and most programs, but often bi-lingual aides, programs for the deaf and blind, special education for the severely impaired, and career and technical education programs are run by the Intermediate School District or equivalent.

A few states have no school systems independent of county or municipal governments. One prominent example is Maryland, where all school systems are run at the county or, in the case of Baltimore City, the county-equivalent level. Other states, such as New York and Tennessee, have both independent school districts and school systems that are subordinate to cities. The Hawaii State Department of Education functions as a single state-wide school district. This is unique among the states, but the District of Columbia Public Schools operates district public schools in Washington, DC and the Puerto Rico Department of Education operates all public schools in the Commonwealth of Puerto Rico.

1.6 Special Districts

Special district governments in the U.S. are independent governmental units that exist separately from general purpose local governments such as county, municipal, township, and school districts. Special districts (also known as special-purpose districts) are created by legislative action, court action, or public referendum, and exist in all states. In 2007, the U.S. had more than 39,000 special district governments. The state of California leads the nation in the number of special districts with Illinois close behind.

Special districts serve limited areas and accomplish legislatively assigned functions using public funds. They provide specialized services to persons living within their geographic area and may also contract to provide services outside their area. Special districts perform many functions, including providing services like water, electric power, gas, fire protection, recycling, solid waste disposal, irrigation, conservation, or sewerage, or managing facilities such as airports, water ports, highways, mass transit systems, parking structures, libraries, parks, cemeteries, hospitals, and stadiums. Most of these functions are also provided by private companies. Most special districts provide only a single service or a smaller array of services to a narrowly defined area.

Special districts often cross the lines of towns, villages, and cities and sometimes cross county lines. Increasingly, regional special districts are being created that serve a large portion of single state or portions of more than one state.

Each special district is governed by a board of directors, commissioners, or board of supervisors. These boards may be appointed by public officials or private entities, or elected by all citizens in their area or by citizens who benefit from their services,

such as local property owners. Sometimes, public officials from overlapping jurisdictions such as cities or counties will serve on the special district's board.

The board of a special district serves primarily in a management capacity and often appoints a chief executive for day-to-day operations, decision making, and policy implementation. Most districts have employees, but some districts exist solely to raise funds by issuing bonds and/or providing tax increment financing.

Section 2

Municipal Finance



2.1 Fund Accounting

In corporate or personal finance, the goal is to maximize revenue streams while minimizing the use of resources. In government finance, the converse is true: agencies strive to maximize services to the citizenry while minimizing their collections of revenue. Government revenues come from dozens of sources and go to hundreds of programs. Governments rely on specialized accountants and accounting systems to track these flows.

In contrast to corporate accounting, government accountants use fund accounting. Fund accounting is designed to maximize accountability rather than profitability. Funds are essentially pots of money, similar to bank accounts, each with a designated purpose. Some funds are general-purpose funds that can be spent for any purpose; other funds are restricted. For example, a city may set up a fund to receive money from the federal Department of Homeland Security to combat terrorism. This money cannot be used for another purpose, even if it is sitting unused while another city fund has a deficit, and is traded separately to show it is used the way the grant requires. This system can be confusing when some programs are cut while other funds are left untapped.

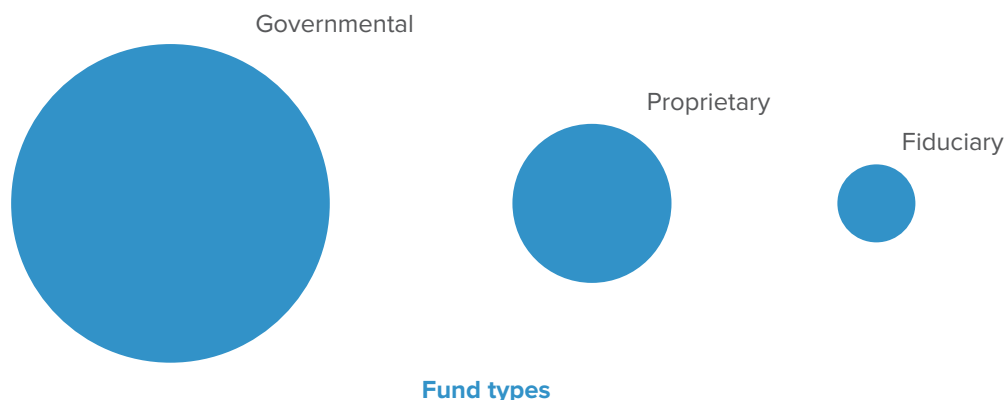
In some circumstances, a city may transfer revenue from one fund to another. An inter-fund transfer does not leave the city coffers and has no net effect on the city's financial position.

2.2 Fund Types²

Generally Accepted Accounting Principles (GAAP), the prevailing national standard for presenting and reporting financial information, sets forth three main fund categories: Governmental, Proprietary, and Fiduciary.

Proprietary funds stem from municipal operations that run similar to businesses in the private sector in that they provide services to some users and recover the costs through fees or charges for those services. Fiduciary funds account for money held for another party, and which cannot be used for the government's general operations. Employee pensions are held in fiduciary funds, for example. Governmental funds account for all other city operations and activities.

² Sections adapted from GLGFC, Chapter 3



Governmental Funds

- **General Fund** The general fund is typically an entity's largest fund. Most revenues assigned to the general fund are considered to be "general purpose" in nature; that is, they have "no strings attached".
In local governments, public safety services usually account for the largest general fund expenditures. The general fund is also the source of money for long-range planning, street maintenance, parks and recreation, and libraries. Revenues to the general fund come primarily from taxes, but also from fees, fines and forfeitures, leases, investments, and grants from other governmental agencies.
- **Special Revenue Funds** These funds account for proceeds from revenue sources that are restricted *externally* by state or federal law. Gas tax funds, for example, account for monies provided to cities and counties by the state and which are limited to transportation-related purposes. Likewise, community development block grants (CDBG) from the federal government can be used only for housing and other specifically defined purposes. Special revenue funds also account for the use of income from benefit assessments such as downtown business improvement districts or lighting and landscape maintenance districts.
- **Capital Project Funds** These funds account for money used in the construction or acquisition of major facilities or equipment, apart from those financed through Proprietary or Fiduciary funds. Sources include the proceeds from debt financing, development impact fees, or transfers from the general fund.
- **Debt Service Funds** These funds account for the accumulation of resources needed to pay off long-term debt obligations with interest (apart from debt service obligations included specifically in the Proprietary or Fiduciary funds). They are typically established to account for dedicated revenues from general obligation bond financing.

- **Permanent Funds** These funds account for resources where only the investment earnings on an endowment are available to provide services, such as a perpetual care cemetery. The principal may not be reduced to pay for services. These funds are not common in local governments.

Proprietary Funds

There are two types of Proprietary Funds: Enterprise and Internal Service funds.

- **Enterprise Funds** Enterprise funds track finances for municipal services where fees or charges to the users of those services pay wholly or in part for such services.

Enterprise funds can be thought of like businesses. Unlike most private businesses, however, the funded entity frequently has a local monopoly over the service (consider water, sewer, and garbage collection). Also, rates charged to customers are set by the elected officials through a political process, not solely by the open market. In addition, municipal enterprises do not seek a profit; they seek to recover the reasonable cost of providing the public service.

In many communities, services such as water supply or garbage collection are in fact contracted to private entities, and fees for those services are paid to the private service provider. The public entity overseeing the contract can then review and alter the contracts under different circumstances so that it retains overall control over the level of service and costs.

- **Internal Service Funds** These funds may be used in accounting for services provided internally to the government, such as printing, fleet maintenance, or computer services. Each department is charged for the specific services as if they were external customers.

Fiduciary Funds

In these funds, an agency holds money in a trustee or third-party agent capacity. As such, the resources cannot be used to support the local government's operations. Fiduciary funds include pension and other employee benefit trust funds, or situations where the local government is holding money on behalf of another agency or organization.

2.3 Revenues

Most cities take in the majority of their funding from taxes. Although some revenue sources flow into multiple funds, many tie to one fund. The most common revenue sources include:

Taxes

Most cities take in the majority of their funding from taxes. Cities may impose any taxes that are not preempted or prohibited by state or federal law. While some taxes accrue to different funds, the majority of municipal tax revenues go to the General Fund.

Some common municipal tax types include:

Property Tax Every year property owners pay a tax rate proportional to the assessed value of their property.

Sales and Use Tax Cities, counties, and the state might impose a sales tax on every transaction that occurs within their borders. States typically set limits on the rates that can be set by local authorities. In California, for example, cities may add up to 1% on top of the state sales tax rate of 6.25%.

Utility Tax Imposed on citizens or businesses that use city utilities.

Business License Tax Imposed on businesses that operate within the city.

Transient Occupancy Tax Imposed on individuals who stay in a hotel within the city for less than 30 days.

Other Taxes on Specific Goods or Services

Charges for Service

Governments provide services that some businesses may need to operate, and the agencies charge

fees for those services. For example, cities may inspect businesses for code compliance, and can charge a fee to cover its expenses. User fees are imposed on individuals who use city services such as recreational facilities or classes, and often fund those services directly.

Utility Rates

Citizens and businesses that use government-run utilities (such as water, electricity, or trash pickup) pay the agency for the resources they use. These services may be provided by independent businesses in some regions.

Assessments

Assessments are charges imposed on property owners and are used to pay for facilities or services that would directly benefit the property owners in a given area. Assessments are a common means of financing infrastructure projects but often require majority consent from the property owners being assessed.

Rent and Franchise Fees

Governments often rent property such as buildings or advertisement space to citizens, businesses, or other governments. Business that use wide-scale government infrastructure, such as phone companies or pipeline operators, may pay the jurisdiction a franchise fee in lieu of rent.

Fines and Penalties

Civil or criminal penalties are imposed on people or businesses that violate local ordinance. Cities and counties can also collect penalties on violations of state laws, as long as the state allows it.

Grants

State or federal governments can give money to other governments to fund specific programs or initiatives. For example, the federal government often gives grants to support crime-reduction or low-cost housing development. Private foundations may also award grants to governments for specific projects or programs.

2.4 Expenses

In general, most government expenses will fall into one of these categories:

Personnel

Because governments are service oriented, the majority of their budgets are spent staff expenses. Personnel expenses include not only base salaries, but such components as overtime, health benefits, uniform allowances, vacation pay, and transportation costs.

Contracts

Governments rely on outside contractors for both internal and external services. A city or county might contract out legal services to a law firm or might pay consultants to maintain the agency's IT infrastructure. Some entities also contract out entire areas of responsibility, such as public safety, to another government.

Materials and Supplies

Standard business expenses – from office supplies to electricity – need to be accounted for as expenses in the budget.

Other

There are other expenses that do not fit neatly into one of the above categories. Some examples include insurance payments and debt servicing (where the government pays back borrowed money).

document, which answers the questions of “what” and “how much” to purchase. If a department is allocated \$4,500 for office supplies, the department is required to spend that amount and no more. Department heads will usually have some discretionary funding to spend as needed.

The purchasing process differs depending on the size of the purchase. Many governments have a dollar-amount limit that determine whether a competitive bidding process is required. If a purchase falls below a pre-set limit, the department can select a vendor and make a request to purchase the goods without much “red tape.”

If a purchase falls into the competitive bidding range, the city issues a Request for Bids or Request for Proposal (RFP). The city places the RFP in a forum and asks vendors to submit proposals and price estimates. The city will then evaluate the proposals, or bids, and selects the vendor that offers the best value for the lowest price. For very large RFPs, the city council may be required to approve the selection through a vote. In cases where only one vendor can provide a particular service, cities may issue a “sole source” contract without the need for an RFP.

2.5 Purchasing

After employee expenses, most of the remaining funds are spent on payments to vendors for goods and services. Governments have developed process-intensive purchasing systems that emphasize fair and balanced decision-making. The purchase is limited to the parameters of the budget

2.6 Accounting

Government accountants record the source and use of every dollar that passes through their agency. To do this, electronic systems are either purchased externally or built in-house. A modern accounting system is a database that stores revenue and expense data and an interface that facilitates storing and retrieving the data.

Accounting systems store two important files, the Chart of Accounts and the General Ledger. The Chart of Accounts outlines how the agency is organized. It usually contains three hierarchies, one describing the fund structure, one describing the organizational structure (e.g. departments), and another describing the expense and revenue account structure.

The Chart of Accounts acts as a map. Associated with each entity in the Chart of Accounts is a unique number, or “account string,” that the accounting system uses to identify it. For example, the “Police Department” might be associated with the number 500. This means that any item starting with a 5 is a unit or division of that department.

Similarly, “Patrol Division” might be assigned the number 520. The “K9 Unit” might have the number 523. These account strings are important to accountants because the title “K9 Unit” alone does not reveal any information about how that unit fits into the city hierarchy. The number 523, however, indicates the department, division, and program name. The number of digits and segments varies.

Accounting systems store every line of expense and revenue data in a general ledger (GL). While GLs can vary in complexity, it can be thought of as a spreadsheet with three columns: year, account string, and dollar amount. The account string is a long number that maps (via the Chart of Accounts) to a specific combination of account type, fund, and organization. Thus, each line in the GL indicates one complete half of a “flow,” from revenue type to fund, or from fund to organization

to expense type. Combining the Chart of Accounts with the General Ledger gives a comprehensive picture of a city’s financial history.

Section 3

Budgeting



3.1 The Budget Process

Budgeting for one's household might reflect a flexible approach: "I earned \$50,000 this year and \$25,000 needs to go to the mortgage and car payments, so I'll spend the rest on food, gas, and vacations, and save whatever is left." In contrast, governments decide in advance how nearly all revenues will be spent. This approach to budgeting helps guarantee that governments provide constant and stable service.

When complete, the budget acts as a guideline for how the entity will use its resources for the next year (or in some cases, the next two years). Because of the importance of the budget document, governments go through a long and intensive budget creation period that takes much of the calendar year to complete. Many governments mark the beginning of their fiscal years in June or July, so budgets are usually finalized in May or June and then take effect on the first of the following month. About two months later, usually around September, the government begins crafting next year's budget.

A final budget is an intricate balance of policy goals and practical requirements. The governing body, as the ultimate decision-making authority, approves the budget. However, the budget creation process is a collaborative exercise that involves employees at every level and in every department.

A budgeting cycle might go through the following phases:

Financial forecasting

This is the first stage in the budget creation process. Analysts in the finance or budget department review historical revenue trends and collect data on the current economic state of the agency. This data could include projected business revenue, the number of expected home purchases, or

other major revenue-generating events. Budget analysts then plug this data into models that attempt to predict how much revenue the agency will receive during the coming year. The organization uses these projections to set its overall budget limit.

Budget guidelines

The organization executive develops guidelines that set the high-level and long-term goals for the budget. The guidelines also contain specific instructions that may ask departments to cut costs or add specific programs.

Department budgets

Each department drafts its own budget. Operating within the guidelines, a department director works with internal analysts to craft a budget that gives the department adequate resources to meet its goals for the year. Department directors rarely start from scratch and instead try to work off the previous year's budget, making changes as necessary to meet new demands or constraints.

Central budget

The executive collects each department's budget, reviews them to ensure they follow the guidelines, and makes changes as necessary. Department heads may appeal if parts of their requested budget are denied. Once the departments finalize their budgets, the executive compiles them into a Proposed Budget.

Budget review, amendment, and adoption Once the Proposed Budget is complete, the finance staff presents it to the governing body and the public. The elected officials usually hold at least one public hearing where citizens can voice concerns about the budget, and the group will review and suggest modifications as well. The Proposed budget may go through multiple rounds of amendments before the council approves it.

Budget implementation

After the governing body approves the budget, it becomes the Adopted Budget. Accountants enter the Adopted Budget into the accounting system, starting a new accounting cycle, and the spending limits laid out in the Adopted Budget instantly take effect for the following year.

3.2 Common Approaches to Budgeting³

Governments approach the budgeting process in different ways. Though budgeting practices have evolved over time and continue to change, most cities currently use either Line-item budgets or Program budgets.

Line-Item Budgets

Line-item budgets focus on costs, showing in detail what goods or services will be purchased, such as office supplies, asphalt, chemicals, phones, gas, electricity, and contract services. Implemented initially as a response to early 20th-Century government corruption, line-item budgets ensure financial control. They appropriate specific amounts of money for specific types of expenditures.

They also help monitor and hold down costs by allowing easy comparisons with prior years. About 60 percent of all local governments prepare their budget using a line-item system.

Program Budgets

Program budgets shift the focus to service delivery by answering two key questions: What is the city trying to accomplish? And, how much will it cost to do so?

This approach organizes budgets by similar functions and related programs, which may often cross departmental lines. It offers narrative (rather than line item detail) on program purpose (mission),

goals, activities in delivering program services, and objectives for improving service delivery and program cost.

With a program budget, the focus shifts from a specific line item to the cost of delivering programs. Compared with line-item budgets, program budgets may better direct the budget discussions between elected officials and the community on how the city wants to achieve its goals, focusing attention on the “what and why” of the organization, rather than just “how much.”

3.3 Other Approaches to Budgeting

Performance budgeting

The line-item and program-based budgeting processes create documents that specify exactly where and how a government should spend its money. But how do officials know whether they constructed a good budget? What if a different allocation of spending could have achieved better results? To better address these questions, the concept of performance budgeting has emerged.

The budgeting systems described above tie each dollar in the budget to a specific expense, while a performance budget attempts to tie each dollar to a specific outcome. Some examples of outcomes could be repairing potholes, reviewing permits, or protecting buildings from vandalism. These desired outcomes should be aligned with the overall goals that the leadership has set for the year.

A well-constructed performance budget indicates how dollars spent lead to these results, outlining the chain of cause and effect. But since performance budgets do not specify how funds should be spent, department and division managers need greater freedom and discretion when it comes to allocating spending.

³ Section adapted from GLGFC

Participatory budgeting

Participatory budgeting is driven by the notion that citizens should have direct say in how governments spend money. A participatory budgeting process encourages citizens to propose, debate, and vote on high-level priorities for the organization. Citizens might vote to make crime prevention a higher priority, for example, or might choose to spend surplus funds on a new library. Like performance budgeting, participatory budgeting is growing in popularity and is enabled by affordable and accessible web technologies.

Participatory budgeting first emerged in Porto Alegre, Brazil in 1989. Though only a handful of US cities use participatory budgeting, thousands do so worldwide. A recent example is Vallejo, CA, who used participatory budgeting to determine capital projects during their bankruptcy recovery.

3.4 The Capital Budget

Sometimes governments need to undertake larger projects that span multiple budget years. These projects are generally capital-intensive and related to construction, such as the building of a new bridge or library. To plan for these projects, agencies produce separate Capital Budgets or Capital Improvement Plans (CIPs) that lay out the multi-year project plan and set aside funding for the project.

3.5 The Budget Document

Governments typically produce three budget documents: a proposed budget, an amended budget, and the adopted budget. The budget document is printed and distributed in a thick booklet, the bulk of which consists of a series of tables containing General Ledger data attached to their Chart of Account labels. Because each fund represents a separate accounting entity, the budget is often broken into separate sections for each fund, then each fund section is further broken down by department.

Below is an example of expenses by department for the City of Palo Alto's budget:

	2008-09 ACTUAL	2009-10 ACTUAL	2010-11 ACTUAL	2011-12 ACTUAL	2012-13 ACTUAL	2013-14 BUDGET
Utilities	\$ 204,008,331	\$ 196,754,627	\$ 186,611,909	\$ 200,932,761	\$ 201,856,709	\$ 211,331,770
Public Works	127,579,270	96,186,383	107,981,519	106,159,762	104,241,986	110,585,691
Non-Departmental	63,150,759	60,396,398	64,505,150	70,315,681	65,122,478	73,521,335
Police	28,319,083	28,970,091	31,903,560	33,745,134	32,280,872	32,650,020
Fire	23,580,850	27,997,040	28,740,097	29,409,971	28,531,479	28,538,423
Community Services	21,856,971	21,273,443	20,929,960	21,412,314	22,571,926	24,462,944
Administrative Services	27,827,889	26,569,664	20,034,129	8,305,088	8,104,110	8,802,386
Planning and Community	10,556,157	10,242,787	11,130,069	12,503,727	15,325,037	17,267,196
Library	6,224,400	6,387,758	6,589,801	7,200,866	7,653,173	7,793,072
Information Technology	0	0	0	12,784,862	15,018,604	12,568,588
People Strategy and Operations	2,700,271	2,706,557	2,571,528	2,676,421	2,854,522	3,265,173
City Attorney	2,473,694	2,582,976	2,338,366	2,752,799	2,412,499	2,453,053
City Manager	1,780,005	2,086,545	2,193,082	2,355,062	2,437,141	2,300,828
City Clerk	1,149,525	1,454,670	1,245,685	1,500,460	1,278,026	1,257,921
City Auditor	816,784	958,326	946,288	917,961	983,864	1,088,195
City Council	279,234	287,389	182,930	400,804	393,297	496,566
Office of Sustainability	168,484	195,617	106,402	169,032	45,275	197,697
TOTAL:	\$ 522,471,707	\$ 485,050,271	\$ 488,010,472	\$ 513,542,705	\$ 511,110,999	\$ 538,580,856

Conclusion

Municipal finance continues to evolve. New practices are emerging that have the potential to transform the way local governments operate and make decisions. One of these practices, performance management, attempts to use data and information to improve service quality while reducing the use of resources. Like performance budgeting, performance management uses pre-determined outcomes and results to measure government performance. The data then informs how the government should adjust its spending and focus in future years.

The benefits of adopting a performance management system impact all the stakeholders in a city. Department heads can use performance data to determine which areas of operation function most effectively, and they can use the same data to justify budget requests.

Performance data benefits elected officials, since it can help them decide how to allocate resources. Historical data can also help leaders predict the costs of expanding services and the impacts of spending reductions. Although citizens benefit whenever their city governments function more efficiently, they can also use performance data to gain insight into how their governments operate. The City of Baltimore, for example, set up a system to track the cost and performance of their street-sweeping programs. Evaluating historical data, the City management discovered that by changing the amount they spend on equipment versus labor, they could realize cost savings while maintaining the same productivity.

Other tools are emerging to help officials measure the financial health of their governments. One example is the Financial Trends Monitoring System (FTMS), already in use by governments across the U.S. Like other financial health indicators, FTMS establishes a series of benchmarks that are designed to give early warning of future financial problems. Some of the benchmarks are tied to the community (Are people buying homes? What's the employment rate?), some are tied to current operations (How are expenses tracking relative to revenues?), and some are tied to the government's long-term financial position (Is debt at a healthy and sustainable level?).

Recent years have been difficult for many local governments. California alone saw three bankruptcies in 2012, and across the country governments are being asked to provide more services with smaller budgets. While performance management and financial health measurement systems may not resolve policy issues, they can direct valuable government resources to where they are needed most. Historically, performance and financial measurement efforts have been hindered by slow and disconnected technology. With the advent of the Internet and the prevalence of computers in government offices, however, new doors have opened.

Appendix: Further Suggested Reading

Multari, Coleman, Hampian, Statler. *Guide to Local Government Finance in California*, Solano Press books, 2012

Wood, Len. *Local Government Dollars and Sense*, The Training Shoppe, 1998.

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Guathier, Stephen. *Governmental Accounting, Auditing, and Financial Reporting*, Government Finance Officers Association, 2012

Slack, Enid. *Guide to Municipal Finance*, United Nations Human Settlements Program, 2009

Fishbein, John. *Building a Better Budget Document*, Government Finance Officers Association, 2013

Walters, Jonathan. *Measuring Up: Governing's Guide to Performance Measurement for Geniuses (And Other Public Managers)*, Governing Books, 2007